

ASCII MASTER FLOW – PANEL 1/12: Government as property-holder, contractor and suable legal person

ROOT QUESTION

How can the State exercise public power yet remain answerable as a legal actor?

PART XII, CHAPTER III

+++ Articles 294-297 -> succession, ownerless and maritime property

+++ Article 298 -> trade, business, property and contract capacity

+++ Article 299 -> mandatory government-contract form

+++ Article 300 -> suits, proceedings and liability continuity.

SEPARATE LINK

Article 300A -> private property may be deprived only by authority of law.

MASTER DISTINCTION

official personal protection != governmental immunity from review or liability.

MUST REMEMBER: Keep Articles 294-300 legal capacity, Article 300A property protection and

Article 361 personal immunity on separate constitutional tracks.

ASCII MASTER FLOW – PANEL 2/12: Succession, ownerless property and reorganisation

ARTICLES 294-295

commencement continuity -> Union/State succeeds to property, rights and liabilities.

ARTICLE 296

escheat/lapse/bona vacantia -> location rule + governmental-purpose proviso.

ARTICLE 297

specified maritime lands, minerals and resources -> Union.

LATER REORGANISATION

statute/agreement -> assets + debt + guarantees + employees

-> contracts/licences + records + pending proceedings.

TRAP

no universal apportionment formula; use the exact reorganisation instrument.

ASCII MASTER FLOW – PANEL 3/12: Articles 298 and 299: capacity before valid commitment

ARTICLE 298

executive capacity to trade, do business, acquire/hold/dispose property and contract.

|
v

ARTICLE 299 MANDATORY FORM

expressed in President/Governor's name

+ executed on behalf of that constitutional head

+ authorised person and prescribed manner.

|
v

valid public commitment -> no personal liability of head/authorised signatory.

TRAP

capacity != authority | signature != authorisation | personal immunity != State immunity.

ASCII MASTER FLOW – PANEL 4/12: Defective contract and restitution

ARTICLE 299 DEFECT

purported contract unenforceable as government contract.

INDEPENDENT SECTION 70 ROUTE

lawful act/delivery + non-gratuitous intention + government enjoys benefit

-> restitution measured by benefit.

B.K. Mondal & Sons (1961)

non-gratuitous benefit can create restitutionary liability.

Mulamchand v. State of Madhya Pradesh (1968)

mandatory Article 299 form remains separate.

LIMIT

quantum meruit does not validate the contract or automatically award contract price.

ASCII MASTER FLOW – PANEL 5/12: Article 300 and the civil-suit route

PROPER PARTY

Union matter -> Union of India | State matter -> name of State.

CPC SECTION 79

party description in government litigation.

CPC SECTION 80

ordinary official-act suit -> two-month prior notice

-> Section 80(2) court-controlled urgent/immediate-relief route.

PROCEEDING

cause of action -> correct party -> notice/exception -> pleading/evidence

-> decree/appeal/enforcement subject to law.

TRAP

procedural notice != substantive sovereign immunity.

ASCII MASTER FLOW – PANEL 6/12: Private tort and the narrowing of sovereign immunity

P & O Steam Navigation (1861)

colonial sovereign/non-sovereign distinction.

v

State of Rajasthan v. Vidyawati (1962)

ordinary operational negligence can attract State liability.

v

Kasturi Lal v. State of Uttar Pradesh (1964)

older police-sovereign immunity line.

v

N. Nagendra Rao & Co. (1994)

broad immunity untenable in welfare State; any residue is narrow.

VERDICT

no blanket formula: identify function, duty, causation and remedy.

CLOSE DISTINCTION: Separate a valid Article 299 contract, Contract Act section 70 restitution,
private tort, constitutional tort and judicial review.

ASCII MASTER FLOW – PANEL 7/12: Constitutional tort and vicarious responsibility

PUBLIC-LAW COMPENSATION

Rudul Sah v. State of Bihar (1983) -> unlawful detention compensation.

Nilabati Behera v. State of Orissa (1993) -> Fundamental-Right remedy distinct.

State of Andhra Pradesh v. Challa Ramkrishna Reddy (2000)

-> prison-rights accountability.

PRIVATE TORT

duty + breach + causation + damage + vicarious-employment nexus.

OFFICIAL RESPONSIBILITY

State liability may coexist with disciplinary, criminal or personal liability.

LIMIT

writ compensation vindicates rights; it does not replace every civil trial.

ASCII MASTER FLOW – PANEL 8/12: Property, procurement, arbitration and protection boundaries

ARTICLE 300A

deprivation of private property only by authority of law.

PROCUREMENT RAIL

need/sanction -> fair criteria/competition -> reasoned award
-> Article 299 execution -> performance/payment -> CAG/audit.

ARBITRATION

valid authorised clause -> tribunal -> award -> statutory challenge/enforcement.

PROTECTION FIREWALL

Article 361 | Article 299 signatory rule | CPC notice | sanction | privilege
are separate sources with separate limits.

CURRENT

GeM/manual/draft reform != constitutional or statutory amendment.

ASCII MASTER FLOW – PANEL 9/12: Article 300A: acquisition discipline and seven safeguards

ARTICLE 300A

every person -> no deprivation of property except by authority of law.

K.T. Plantation (2011)

public purpose + no arbitrary/confiscatory law + no illusory compensation.

Vidya Devi (2020)

unsupported executive occupation != lawful acquisition.

Bimal Kumar Shah (2024 INSC 435)

notice -> hearing -> reasoned decision -> public purpose

-> fair compensation/restitution -> efficient process -> conclusion.

TRAP

constitutional right outside Part III; neither a Fundamental Right nor a mere statutory right.

ASCII MASTER FLOW – PANEL 10/12: State secrets: evidence privilege and RTI are distinct

LITIGATION-EVIDENCE ROUTE

BSA section 129 -> unpublished official records concerning affairs of State.

BSA section 130 -> official confidence where public interest would suffer.

Raj Narain (1975) + S.P. Gupta (1981) -> no absolute executive secrecy.

RTI ROUTE

section 8(1)(a) specified prejudicial harms

-> section 8(2) public-interest override

-> section 22 priority over inconsistent law, including Official Secrets Act.

DECISION TEST

exact source -> identified harm -> severance -> public-interest balance -> reasons -> review.

ASCII MASTER FLOW – PANEL 11/12: Choose the correct remedy and protection

START WITH THE WRONG, NOT A BLANKET IMMUNITY

valid contract breach -> contract/arbitration.

defective form + retained benefit -> section 70 restitution.

operational civil wrong -> private tort.

Fundamental-Right violation -> public-law compensation.

property deprivation -> Article 300A + acquisition-law remedy.

illegal administrative decision -> judicial review.

PROCEDURE / PROTECTION FIREWALL

CPC 79 proper party | CPC 80 notice/urgent route | BNSS 218 sanction

| Article 361 | Article 299(2) | BSA 129-130.

Each source has its own trigger, decision-maker, limit and remedy.

ASCII MASTER FLOW – PANEL 12/12: UPSC synthesis: no blanket immunity in government under law

PRELIMS FIREWALL

294/295 succession | 296 ownerless property | 297 maritime resources
| 298 capacity | 299 form | 300 suits | 300A property right
| Section 70 restitution != valid contract | Section 80 notice != immunity.

MAINS SPINE

legal person -> property/succession -> capacity/form
-> restitution -> suit procedure -> private tort
-> constitutional tort -> procurement/arbitration -> qualified reform.

PYQ SPINE

2025 immunity statements test source separation, not blanket State immunity.

VERDICT

public power carries special form and protection, but remains legally answerable.

CURRENT CONTROL: 5 SEPTEMBER 2026

Bernard Francis Joseph Vaz, 2025 INSC 3, reinforces timely adequate
Article 300A compensation. Contract, restitution, tort, constitutional
compensation, review and official protection remain separate routes.

LEGAL/SOURCE LIMIT: The official constitutional and procedural texts remain controlling; 2025
INSC 3 reinforces timely adequate compensation under Article 300A.